

13-1a Total Revenue, Total Cost, and Profit

To understand the decisions a firm makes, we must understand what it is trying to do. Chloe may have started her firm because of an altruistic desire to provide the world with cookies or simply out of love for the cookie business, but it is more likely that she started the business to make money. Economists normally assume that the goal of a firm is to maximize profit, and they find that this assumption works well in most cases.

What is a firm's profit? The amount that the firm receives for the sale of its output (cookies) is called **total revenue (the amount a firm receives for the sale of its output)**. The amount that the firm pays to buy inputs (flour, sugar, workers, ovens, and so forth) is called **total cost (the market value of the inputs a firm uses in production)**. As the business owner, Chloe gets to keep any revenue above her costs. That is, a firm's **profit (total revenue minus total cost)** equals its total revenue minus its total cost:

$$\text{Profit} = \text{Total revenue} - \text{Total cost}$$

Chloe's objective is to make her firm's profit as large as possible.

To see how a firm maximizes profit, we must consider fully how to measure its total revenue and its total cost. Total revenue is the easy part: It equals the quantity of output the firm produces multiplied by the price at which it sells its output. If Chloe produces **10,000** cookies and sells them at **\$2** a cookie, her total revenue is **\$20,000**. The measurement of a firm's total cost, however, is more subtle.